

Bajaj Auto Ltd

Investment Rating : Excellent

Company Overview

Website	https://www.bajajauto.com/
Sector	nan
Market Cap	653,817.30 Cr
PE Ratio	29.91
PB Ratio	9.83
Dividend Yield	3.59 %

Financial Quality

ROE	26.5
ROCE	33.5
CFO Quality	Moderate
FCF CAGR	9.39%
Capital Pattern	Growth Focused

Capital Allocation

Capital Score	100.0
Reinvestment	Low Reinvestment
Debt Trend	Stable Debt
Leverage	Low

Business Overview

Bajaj Auto, the flagship company of Bajaj Group, is a two-wheeler and three-wheeler manufacturing company that exports to 79 countries across several countries in Latin America, Southeast Asia, and many more. Its headquarter is in Pune, India.

It has acquired 48% of the KTM Brand which manufactures sports and super sports two-wheelers, which was 14% in 2007 when the company first acquired KTM. [1]

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Strong free cash flow generation over 5 years signals healthy business fundamentals.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Consistent dividend yield above 2% backed by positive free cash flow.
Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

Rising debt over the past 3 years suggests increasing financial leverage risk.